

HK/SG Banks: Everything is Relative

Intl banks (+21-29% ytd) and HK banks (+11-19% ytd) outperformed SG banks (+3-5% ytd), with better China sentiment outweighed prior concerns on [HK CRE](#). As SG banks sharpen cap return and eye for better loan growth/non-Il growth while the HK banks re-rated from previous lows already, the relative attractiveness of SG banks, esp DBS improved. Market underappreciated the space's long-term ROE potential esp with AI adoption in sight. We favor Intl - BoCHK and DBS.

4Q24 Results - HK banks reported robust PPOP trend (e.g. [BEA](#)) supported by policy stimulus and increased market activities in 4Q, even though HK CRE still weighed on provisions (less so for international given diversified exposures). [HSB](#)'s NPL rose further from an already high base (2H24: 6.12%). [BoCHK](#) is the last one to report in late Mar, and could surprise on non-Il too, in our view. SG banks delivered inline profit against high expectations ([DBS](#) and [UOB](#)), except for [OCBC](#) with a miss in PPOP dragged by GE Medical one-offs and higher costs only offset by better taxes.

Capital Return - The removal of the scale factor from Jan 2025 in HK is expected to lower credit RWA by 6%, and the benefit will diminish in subsequent years (to 2029) as the output floor increases. HSB decided not to renew the buyback this time, citing 2H24 DPS already almost equals 2H24 profit. Assuming ~100% total payout ratio, we forecast HK\$2.5-3bn buyback a year for HSB (1% market cap). BoCHK aims to become the first SOE bank to implement a buyback and could give an update as the regulatory hurdles clear in 2H25. We forecast HK\$5bn buyback each for 2025-26. Including such, BoCHK's TSR yield could reach 9.3%, top the space along with Intl (9-11%). In SG, DBS announced a special DPS of S\$0.6 from 2025 (~S\$1.7bn a year) on top of the S\$3bn buyback previously announced; UOB will pay a special of S\$0.5 in 2025 and have a buyback of S\$2bn buyback from 2025-27 (S\$3bn in total, ~5% market cap); OCBC will stretch payout to 60% in 2025-26E, and have a buyback of ~S\$1bn in that two years (S\$2.5bn in total, 3% market cap). DBS now offers 8% TSR yield, vs. UOB ~7% and OCBC ~6%, which drives our pecking order **DBS > UOB > OCBC (d/g to Hold)** within SG, on valuation.

Risk and Reward - We noted a [rotation from SG to HK](#) since the start of 2025 as an inexpensive proxy for better China sentiment. While we see stock specific opportunities in HK - **1)** structural turnaround of intl banks, **2)** BoCHK potential result beat and buyback, we sense the relative value of SG banks in particular DBS having lagged ytd has improved vs. HK. There are still a couple macro factors in play for both sides, e.g. US rate outlook, Trump and tariffs, China recovery. But with DBS providing similar if not higher TSR yield while having a stronger execution track record, credit risk mgmt and digital readiness than HSB/UOB/OCBC, we think investors could be interested in revisiting DBS, of course, also subject to the path of rate normalisation which could change the relative attractiveness of non-dollar markets as well. On the flip side, the TSR yield of the SG banks could be a ceiling for HK banks' re-rating esp the domestic ones.

Long-term Upside - Macro risks aside, we advise investors to focus on the long-term ROE potential of the banks. In our [2025 outlook](#), we highlighted that overseas growth could drive 0.4-0.9ppt ROE uplift for SG banks and BoCHK. AI adoption, in our view, could be another key long-term ROE driver. We estimate every 10% reduction in staff costs (~60% of total opex) could result in 1.4-2.7ppt improvement in CIR and 0.3-0.8ppt improvement in ROE. Currently, very little of such enhancements are factored into consensus. We are generally above cons on 2027 earnings.

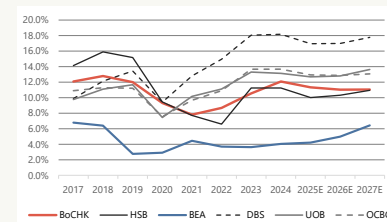
KEY STOCKS FEATURED INCLUDE:

TICKER	RATING	PRICE TARGET
DBS SP	BUY	SGD52.00
UOB SP	BUY	SGD43.00
OCBC SP	HOLD	SGD18.50
23 HK	HOLD	HK\$12.00
11 HK	UNPF	HK\$85.00

KEY CHANGES INCLUDE:

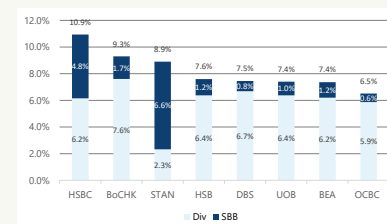
TICKER	RATING	PRICE TARGET
DBS SP	BUY	↑ SGD52.00 (SGD49.00)
UOB SP	BUY	↑ SGD43.00 (SGD42.00)
OCBC SP	↓ HOLD	↓ SGD18.50 (SGD19.00)
23 HK	HOLD	↑ HK\$12.00 (HK\$9.50)
11 HK	UNPF	↑ HK\$85.00 (HK\$79.00)

Figure 1 - HK/SG Banks ROE



Source: Jefferies, Companies

Figure 2 - HK/SG Banks: Total Capital Return Yield 25E



Source: Jefferies, Companies

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Summary of Changes

Company	Rating	Price^	Price Target	EPS Estimates			P/E		
				2024	2025	2026	2024	2025	2026
DBS Group Holdings Ltd. DBS SP	BUY	SGD45.53	SGD52.00 ↑ +6%	SGD3.94 ↓ -1%	SGD4.01 <1%	SGD4.14	11.6x	11.4x	11.0x
Previous			SGD49.00	SGD3.99	SGD3.97	SGD4.14			
United Overseas Bank Ltd. UOB SP	BUY	SGD38.37	SGD43.00 ↑ +2%	SGD3.44 ↓ -2%	SGD3.76 ↑ +3%	SGD4.07 ↑ +2%	11.2x	10.2x	9.4x
Previous			SGD42.00	SGD3.49	SGD3.66	SGD3.98			
Oversea-Chinese Corp. OCBC SP	Banking ↓ HOLD	SGD17.18	SGD18.50 ↓ -3%	SGD1.69	SGD1.69 ↓ -2%	SGD1.76 ↓ -2%	10.2x	10.2x	9.8x
Previous	BUY		SGD19.00	SGD1.69	SGD1.72	SGD1.80			
BEA 23 HK	HOLD	HK\$11.48	HK\$12.00 ↑ +26%	HK\$1.52 ↑ +8%	HK\$1.62 ↑ +3%	HK\$1.96	7.5x	7.1x	5.9x
Previous			HK\$9.50	HK\$1.40	HK\$1.57	HK\$1.96			
HSB 11 HK	UNPF	HK\$107.80	HK\$85.00 ↑ +8%	HK\$9.33 ↑ +8%	HK\$8.49 ↑ +4%	HK\$8.92 ↑ +8%	11.6x	12.7x	12.1x
Previous			HK\$79.00	HK\$8.66	HK\$8.18	HK\$8.25			
BOCHK 2388 HK	BUY	HK\$29.25	HK\$31.00 ↑ +11%	HK\$3.80 <1%	HK\$3.80	HK\$3.93 <1%	7.7x	7.7x	7.5x
Previous			HK\$28.00	HK\$3.79	HK\$3.80	HK\$3.89			

^Prior trading day's closing price unless otherwise noted.

HK/SG Banks 4Q24 Review

Figure 3 - BoCHK 4Q24E Preview

P&L (HK\$m)	4Q23	1Q24	2Q24	3Q24	4Q24	YoY	QoQ	Cons 4Q24E	Delta
Net interest income (adjusted)	15,004	14,297	14,520	14,787	14,807	-1%	0%		
Net fee income	1,948	2,542	2,458	2,412	2,608	34%	8%		
Other income	-78	954	565	1,280	201	-359%	-84%		
Total income	16,874	17,793	17,543	18,479	17,616	4%	-5%	15,860	11%
Opex	-4,528	-3,985	-4,136	-4,250	-4,691	4%	10%	-4,898	-4%
Pre-provision profit	12,346	13,808	13,407	14,229	12,925	5%	-9%	10,962	18%
Asset loss provisions	-3,653	-883	-1,198	-1,242	-1,777	-51%	43%	-1,535	16%
Operating profit	8,693	12,925	12,209	12,987	11,148	28%	-14%	9,428	18%

Source: Jefferies, Company

Figure 4 - HK/SG Banks Valuation Comps

Company	2024	PE 2025	2026	2024	P/B 2025	2026	2024	ROE/ROTE 2025	2026	2024	TSR Yield 2025	2026
HK Banks												
BoCHK	7.4	7.4	7.1	0.86	0.82	0.77	12.1%	11.3%	11.0%	7.5%	9.3%	9.7%
HSB	11.4	12.6	12.0	1.28	1.26	1.23	11.2%	10.0%	10.3%	8.0%	7.6%	7.8%
BEA	8.3	7.4	6.0	0.31	0.30	0.29	3.7%	4.1%	4.9%	6.7%	7.4%	9.1%
HSBC	8.9	8.4	7.7	1.28	1.18	1.08	15.0%	14.7%	14.6%	14.4%	10.9%	11.5%
STAN	8.6	7.4	6.4	1.07	0.95	0.82	13.0%	13.5%	13.8%	12.3%	8.9%	9.7%
SG Banks												
DBS	11.6	11.4	11.1	1.96	1.89	1.85	17.9%	16.8%	16.8%	4.9%	7.5%	8.0%
UOB	11.2	10.2	9.4	1.37	1.25	1.19	12.7%	12.7%	12.8%	4.7%	7.4%	6.7%
OCBC	10.2	10.2	9.8	1.34	1.29	1.22	13.7%	13.0%	12.9%	5.9%	6.5%	6.2%

Source: Jefferies, Companies

Figure 5 - HK/SG Banks Key Metrics

	NIM			Loan Growth			CoR			Earnings Growth		
	2024	2025	2026	2024	2025	2026	2024	2025	2026	2024	2025	2026
HK Banks												
BoCHK	1.63%	1.55%	1.48%	-1%	3%	4%	0.30%	0.30%	0.25%	23%	0%	3%
HSB	2.20%	2.05%	1.95%	-5%	2%	4%	0.57%	0.61%	0.50%	4%	-9%	5%
BEA	2.08%	1.96%	1.86%	2%	4%	5%	0.99%	0.86%	0.67%	6%	12%	25%
SG Banks												
DBS	2.13%	2.07%	1.99%	3%	4%	5%	0.14%	0.18%	0.16%	12%	0%	2%
UOB	2.03%	1.95%	1.87%	5%	8%	8%	0.28%	0.28%	0.26%	10%	8%	7%
OCBC	2.20%	2.10%	2.00%	8%	5%	7%	0.22%	0.25%	0.23%	8%	0%	4%

Source: Jefferies, Companies

Figure 6 - HK/SG Banks Recession Stress Testing

	DBS	UOB	OCBC	HSB	BoCHK	BEA
	S\$m	S\$m	S\$m	HK\$m	HK\$m	HK\$m
AIEA	677,183	476,552	443,409	1,399,273	3,586,930	786,627
Avg Loans	429,418	329,491	307,910	853,074	1,695,165	537,935
Peak NIM (2024)	2.13%	2.03%	2.20%	2.20%	1.63%	2.08%
Assume 120bps rate cut						
NIM downside	-0.08%	-0.12%	-0.11%	-0.18%	-0.10%	-0.12%
Pro-forma NIM	2.05%	1.91%	2.09%	2.02%	1.53%	1.96%
CoR (FY24)	0.14%	0.28%	0.22%	0.57%	0.30%	0.99%
HK CRE % Loans	5.3%	3.7%	3.6%	15.7%	15.5%	14.8%
Estimated Provisions	0.13%	0.09%	0.09%	0.47%	0.35%	0.33%
Other Credit Provisions	0.10%	0.20%	0.20%	0.30%	0.15%	0.50%
Downside CoR	0.23%	0.29%	0.29%	0.77%	0.50%	0.83%
Recession Stress Testing						
PBT (2024)	13,053	7,151	8,976	21,014	48,278	5,300
NII Impact	(519)	(580)	(468)	(2,586)	(3,505)	(983)
Provision Impact	(379)	(37)	(204)	(1,747)	(3,392)	865
Pro-forma PBT	12,154	6,534	8,304	16,681	41,381	5,183
% Change						
NII Impact	-4%	-8%	-5%	-12%	-7%	-19%
Provision Impact	-3%	-1%	-2%	-8%	-7%	16%
Pro-forma PBT	-7%	-9%	-7%	-21%	-14%	-2%
ROE (2024)	18.2%	12.4%	13.7%	11.2%	12.1%	3.7%
Pro-forma ROE	16.9%	11.3%	12.6%	8.9%	10.4%	3.7%

Source: Jefferies, Companies

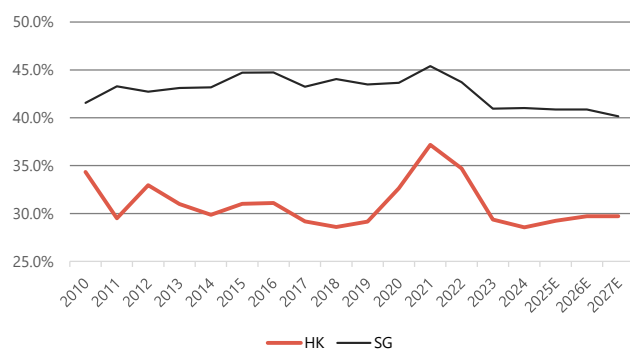
AI in Banking

Figure 7 - HK/SG Banks Staff Cost Sensitivity

	DBS	UOB	OCBC	HSB	BoCHK	BEA
	S\$mn	S\$mn	S\$mn	HK\$mn	HK\$mn	HK\$mn
AI Cost Saving						
Staff Costs (2024)	5,594	3,699	3,837	5,918	11,090	5,616
Total Opex (2024)	8,895	6,310	5,742	15,193	17,062	9,634
Staff Costs %	63%	59%	67%	39%	65%	58%
Assume 10% Reduction						
Pro-forma Opex	8,336	5,940	5,358	14,601	15,953	9,072
Pro-forma PBT	4.3%	5.2%	4.3%	2.8%	2.3%	9.6%
Pro-forma ROE	18.9%	13.8%	14.3%	11.6%	12.4%	4.4%
Total Income	22,297	14,294	14,473	41,537	71,431	20,979
CIR	39.9%	44.1%	39.7%	36.6%	23.9%	45.9%
Pro-forma CIR	37.4%	41.6%	37.0%	35.2%	22.3%	43.2%

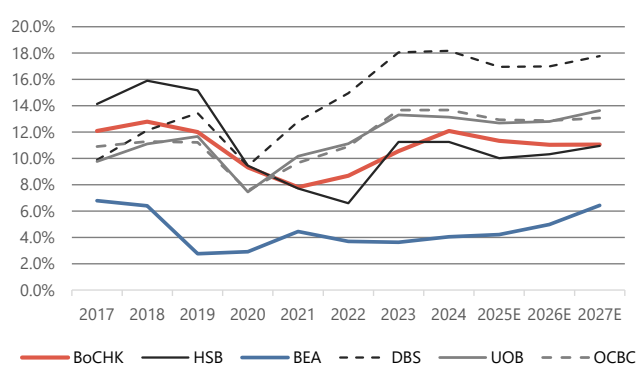
Source: Jefferies, Companies

Figure 8 - HK/SG Banks CIR



Source: Jefferies, Companies

Figure 9 - HK/SG Banks ROE



Source: Jefferies, Companies

Financials

Figure 10 - DBS Income Statement

Income statement (SGD bn)							
	2021	2022	2023	2024	2025E	2026E	2027E
Net Interest Income	8.4	10.9	13.6	14.4	14.9	14.9	15.5
Fee and Commission Income	3.5	3.1	3.4	4.2	4.6	5.0	5.3
Other Operating Income	2.2	2.5	3.2	3.7	3.9	4.2	4.6
Total Operating Income	14.2	16.5	20.2	22.3	23.4	24.1	25.4
Total Operating Expenses	(6.6)	(7.1)	(8.1)	(8.9)	(9.5)	(9.9)	(10.3)
Pre-Provision Operating Profit	7.6	9.4	12.1	13.4	13.9	14.2	15.1
Loan & Asset Loss Provision	(0.1)	(0.2)	(0.6)	(0.6)	(0.8)	(0.8)	(0.8)
Non-operating (including associate)	0.2	0.2	(0.0)	0.1	0.2	0.2	0.2
Pretax Income	7.8	9.4	11.5	12.9	13.3	13.6	14.6
Income Taxes	(1.0)	(1.2)	(1.5)	(1.6)	(2.0)	(2.1)	(2.2)
Minority Interest	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)
Net Income	6.8	8.2	10.1	11.3	11.3	11.6	12.4
Preferred Dividends	-	-	-	-	-	-	-
Net Inc. Avail. To Common - Basic	6.8	8.2	10.1	11.3	11.3	11.6	12.4

Source: Jefferies, Company

Figure 11 - UOB Income Statement

Income statement (SGD bn)							
	2021	2022	2023	2024	2025E	2026E	2027E
Net Interest Income	6.4	8.3	9.7	9.7	9.9	10.1	11.0
Fee and Commission Income	2.4	2.1	2.2	2.4	2.6	2.9	3.2
Other Operating Income	1.0	1.1	2.0	2.2	2.4	2.6	2.8
Total Operating Income	9.8	11.6	13.9	14.3	14.9	15.6	17.0
Total Operating Expenses	(4.3)	(5.3)	(6.2)	(6.3)	(6.3)	(6.5)	(6.9)
Pre-Provision Operating Profit	5.5	6.3	7.7	8.0	8.6	9.1	10.1
Loan & Asset Loss Provision	(0.7)	(0.6)	(0.9)	(0.9)	(1.0)	(1.0)	(1.0)
Non-operating (including associate)	0.1	0.1	0.1	0.1	0.1	0.1	0.2
Pretax Income	4.9	5.8	6.9	7.2	7.8	8.3	9.3
Income Taxes	(0.9)	(1.2)	(1.1)	(1.1)	(1.4)	(1.5)	(1.7)
Minority Interest	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)
Net Income	4.1	4.6	5.8	6.1	6.3	6.8	7.5
Preferred Dividends	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Net Inc. Avail. To Common - Basic	4.0	4.5	5.6	6.0	6.2	6.7	7.4

Source: Jefferies, Company

Figure 12 - OCBC Income Statement

Income statement (SGD bn)							
	2021	2022	2023	2023	2025E	2026E	2027E
Net Interest Income	5.9	7.7	9.6	9.6	9.9	9.9	10.5
Fee and Commission Income	2.2	1.9	1.8	1.8	2.1	2.3	2.5
Other Operating Income	2.4	1.7	2.1	2.1	2.9	3.2	3.4
Total Operating Income	10.5	11.3	13.5	13.5	15.0	15.4	16.4
Total Operating Expenses	(4.8)	(4.8)	(5.2)	(5.2)	(6.0)	(6.2)	(6.4)
Pre-Provision Operating Profit	5.7	6.4	8.3	8.3	9.0	9.2	10.0
Loan & Asset Loss Provision	(0.9)	(0.6)	(0.7)	(0.7)	(0.8)	(0.8)	(0.8)
Non-operating (including associate)	0.9	0.9	1.0	1.0	1.1	1.1	1.2
Pretax Income	5.7	6.7	8.4	8.4	9.1	9.5	10.2
Income Taxes	(0.6)	(1.0)	(1.2)	(1.2)	(1.4)	(1.4)	(1.5)
Minority Interest	(0.2)	(0.1)	(0.1)	(0.1)	(0.2)	(0.2)	(0.2)
Net Income	4.9	5.5	7.0	7.0	7.6	7.9	8.5
Preferred Dividends	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Inc. Avail. To Common - Basic	4.8	5.5	7.0	7.0	7.6	7.8	8.5

Source: Jefferies, Company

Figure 13 - BoCHK Income Statement

Income statement (HKD bn)							
	2021	2022	2023	2024E	2025E	2026E	2027E
Net Interest Income	31.9	38.8	51.1	58.4	58.4	57.4	58.5
Net Fee and Commission Income	11.9	9.8	9.2	10.0	10.3	10.9	11.6
Other Operating Income	5.2	5.7	5.3	3.0	2.8	3.1	3.4
Total Operating Income	49.0	54.2	65.5	71.4	71.5	71.4	73.5
Total Operating Expenses	(16.4)	(17.0)	(16.6)	(17.1)	(17.2)	(17.4)	(17.9)
Pre-Provision Operating Profit	32.6	37.3	48.9	54.4	54.3	54.0	55.6
Loan & Asset Loss Provision	(2.1)	(2.3)	(6.3)	(5.1)	(5.2)	(4.4)	(3.7)
Non-operating (including associate)	(0.5)	(1.8)	(1.6)	(1.0)	(0.7)	(0.4)	(0.2)
Pretax Income	30.0	33.2	40.9	48.3	48.5	49.2	51.7
Income Taxes	(5.0)	(5.9)	(6.1)	(7.2)	(7.8)	(7.9)	(8.3)
Minority Interest	0.7	(0.1)	0.7	0.9	0.9	0.9	0.9
Net Income	24.3	27.3	34.1	40.2	39.9	40.4	42.5
Preferred Dividends	1.4	1.4	1.4	-	-	-	-
Net Inc. Avail. To Common - Basic	23.0	25.9	32.7	40.2	39.9	40.4	42.5

Source: Jefferies, Company Data

Figure 14 - HSB Income Statement

Income statement (HKD bn)							
	2021	2022	2023	2024	2025E	2026E	2027E
Net Interest Income	23.8	25.6	32.3	30.8	30.1	29.5	30.4
Net Fee and Commission Income	6.6	5.2	4.9	5.3	5.5	5.7	6.0
Other Operating Income	2.8	3.6	3.6	5.4	4.8	5.0	5.3
Total Operating Income	33.2	34.4	40.8	41.5	40.4	40.3	41.7
Total Operating Expenses	(14.1)	(13.8)	(14.6)	(15.2)	(15.5)	(15.8)	(16.3)
Pre-Provision Operating Profit	19.0	20.6	26.2	26.3	24.9	24.4	25.4
Loan & Asset Loss Provision	(2.8)	(7.7)	(6.3)	(4.8)	(5.1)	(4.3)	(4.1)
Non-operating (including associate)	0.2	(0.1)	0.2	(0.5)	(0.3)	(0.1)	0.0
Pretax Income	16.4	12.8	20.1	21.0	19.4	20.1	21.4
Income Taxes	(2.4)	(1.5)	(2.3)	(2.6)	(2.9)	(3.0)	(3.2)
Minority Interest	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)
Net Income	14.0	11.3	17.8	18.4	16.5	17.1	18.2
Preferred Dividends	0.7	0.7	0.7	0.7	0.7	0.7	0.7
Net Inc. Avail. To Common - Basic	13.3	10.6	17.1	17.7	15.8	16.4	17.5

Source: Jefferies, Companies

Figure 15 - BEA Income Statement

Income statement (HKD bn)							
	2021	2022	2023	2024	2025E	2026E	2027E
Net Interest Income	11.2	13.5	16.9	16.5	16.2	16.2	16.7
Net Fee and Commission Income	3.1	2.8	2.6	2.8	2.9	3.1	3.3
Other Operating Income	2.0	1.7	1.2	1.6	1.7	1.7	1.8
Total Operating Income	16.3	18.0	20.7	21.0	20.7	21.0	21.8
Total Operating Expenses	(9.3)	(9.2)	(9.4)	(9.6)	(9.7)	(9.9)	(10.1)
Pre-Provision Operating Profit	7.0	8.7	11.3	11.3	11.0	11.2	11.8
Loan & Asset Loss Provision	(1.7)	(5.9)	(6.2)	(5.6)	(5.2)	(4.3)	(3.0)
Non-operating (including associate)	0.9	2.1	0.2	0.1	(0.1)	-	0.0
Pretax Income	6.1	4.9	5.3	5.8	5.7	6.8	8.8
Income Taxes	(0.8)	(0.6)	(1.2)	(1.2)	(1.1)	(1.4)	(1.8)
Minority Interest	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Income	5.3	4.4	4.1	4.6	4.6	5.4	7.0
Preferred Dividends	0.8	0.7	0.6	0.6	0.3	0.3	0.1
Net Inc. Avail. To Common - Basic	4.5	3.7	3.5	4.0	4.3	5.1	6.9

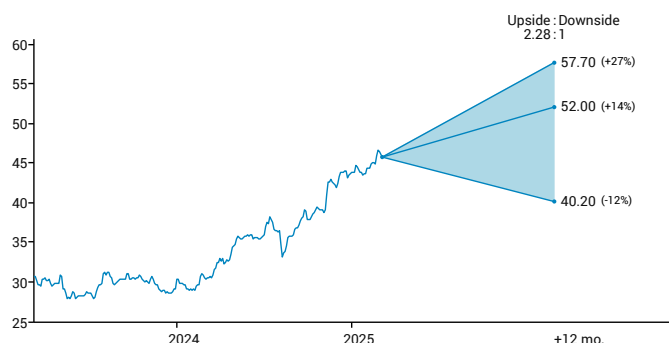
Source: Jefferies, Company Data

The Long View: DBS Group Holdings Ltd.

Investment Thesis / Where We Differ

We rate DBS as a Buy with a PT of S\$52. DBS's premium valuation is justified by its proactive capital mgmt and best-in-class execution. The group expects to deliver 17-18% ROE, with ongoing momentum in wealth and other non-ll business to offset the NIM normalisation. Above-peer payout ambition should drive outperformance.

Risk/Reward - 12 Month View



Base Case, SGD52.00, +14%

- Flattening yield curve and muted transmission of rate hikes.
- Sluggish markets to limit growth in wealth-related income
- Ongoing investment in technology to ensure system consistency and improve customer experience
- Provisions to normalise higher amid global macro uncertainties
- 12m fwd. EPS: S\$4.01; Target P/E: 13x; Price Target: S\$52.
- Share price upside of 11.8% plus 6.6% dividend yield will make a total TSR of 7.5%.

Upside Scenario, SGD57.70, +27%

- Improved margin outlook either due to higher base rates or risk repricing and loan mix shift or higher CASA
- Better market sentiment improving non-interest and trading income
- Lower-than-expected credit costs
- Bull case EPS: S\$4.45; Target Multiple: 13x P/E; Price Target: S\$57.7.

Downside Scenario, SGD40.20, -12%

- Liquidity squeeze, deposit competition, and higher wholesale funding costs push margins down
- Continued NPA formation from regional exposure, decline in momentum in non-interest income
- Trade-related uncertainties, depreciating Asian currencies negatively affect non-interest income and trading sentiment
- Downside from regional property and property-related security exposure and commodity exposure
- Bear case EPS: S\$3.1, Target Multiple: 13x; Price Target: S\$40.2.

Sustainability Matters

Top Material Issue(s):

- 1) For DBS to better serve the economy and enhance competitiveness, it needs to continually push forward product innovation, strengthen service channels, improve comprehensive services, and promote high-quality and sustainable development of inclusive financial services.
- 2) Since ESG factors can have material implications for the underlying companies and projects that commercial banks lend to, it is necessary for DBS to incorporate ESG factors when developing products and conducting credit analysis.

Company Target(s):

- 1) Achieve net zero carbon emissions from own operations
- 2) Set seven green operation goals, covering Power, Oil & Gas, Automotive, Steel, Aviation, Real Estate, and Shipping, to achieve a net zero target in 2050.

Qs to Mgmt:

- 1) What are you investing in to protect your bank and your customers' data?
- 2) What further steps would be taken to achieve the interim goals for 2030?

Catalysts

- Growth from new investments (India/ China/ China Securities JV/ Digital Exchange).
- Speed and timing of rate hikes.
- Mgmt succession.

Financials: DBS Group Holdings Ltd.

Estimate changes

SGD	2024A	2025E	2026E	2027E
Rev. (MM)	22,297.0 <1%	23,430.7 ↑ +2%	24,069.0 ↑ +1%	25,423.5
Previous	22,223.7	22,983.8	23,789.1	
Cons. DPS	-	2.88 ↑ +22%	3.09 ↑ +18%	3.30
Previous		2.37	2.61	
DPS	2.22 <1%	3.06 ↑ +20%	3.33 ↑ +16%	3.54
Previous	2.24	2.56	2.88	
Net Profit	11,288.0 ↑ +1%	11,293.3 ↑ +3%	11,571.4 <1%	12,374.4
Previous	11,164.4	11,000.7	11,462.8	
ROE	18%	17%	17%	18%
BV/Share	23.38 ↑ +4%	24.16 ↑ +4%	24.81 ↑ +3%	25.53
Previous	22.51	23.29	24.19	
EPS	3.94 ↓ -1%	4.01 <1%	4.14	4.45
Previous	3.99	3.97		
Cons. EPS	-	3.84 ↑ +2%	3.92 ↑ +2%	4.04
Previous		3.78	3.86	

Valuation metrics

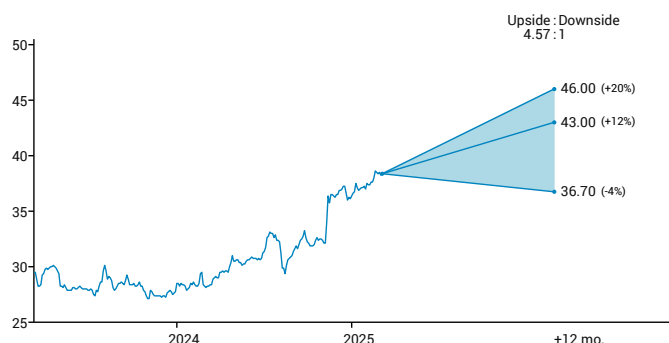
	2024A	2025E	2026E	2027E
P/B	1.9x	1.9x	1.8x	1.8x
FY P/E	11.6x	11.4x	11.0x	10.2x

The Long View: United Overseas Bank Ltd.

Investment Thesis / Where We Differ

We rate UOB as a Buy with a PT of S\$43. UOB now trades at 1.36x PB vs. an ROE of 12.7%. Capital beat after Basel implementation enables UOB to step up shareholder return, while pursuing growth. The bank is well-positioned to capture flow opportunities across ASEAN. Ramp-up of new business post Citi integration provides upside to earnings.

Risk/Reward - 12 Month View



Base Case, SGD43.00, +12%

- Flattening yield curve, limited transmission of Fed rate hikes
- Citi integration costs rolling off and new businesses starting to contribute
- Strong ASEAN network and beneficiary for x-border flows
- 12m fwd EPS: S\$3.75 Target P/E: 11.5x; Price Target: S\$43.
- Share price upside of 12.3% plus 6.3% dividend yield will make a total TSR of 7.4%.

Upside Scenario, SGD46.00, +20%

- Higher loan growth
- Improved margin outlook either due to base rate or re-pricing risk and loan mix shift or lower wholesale funding cost
- Credit costs lower than expected
- Bull case EPS: S\$3.75; Target Multiple: 11.5x; Price Target: S\$46.

Downside Scenario, SGD36.70, -4%

- Liquidity squeeze, deposit competition and higher wholesale funding costs push down margins
- Sudden steepness in the yield curve and USD strength
- Continued NPA formation from regional/SME exposure
- Downturn in the property market
- Bear case EPS: S\$3.21, Target Multiple: 11.5x; Price Target: S\$36.7.

Sustainability Matters

Top Material Issue(s):

- 1) For UOB to better serve the economy and enhance competitiveness, it needs to continually push forward product innovation, strengthen service channels, improve comprehensive services, and promote the high-quality and sustainable development of inclusive financial services.
- 2) Since ESG factors can have material implications for the underlying companies and projects that commercial banks lend to, it is necessary for UOB to incorporate ESG factors when developing products and conducting credit analysis.

Company Target(s):

- 1) Build a sustainable finance portfolio of \$30 billion by 2025.
- 2) Reduce by 14% electricity use intensity and Scope 2 emissions intensity, separately, by 2030, with baseline year of 2018.
- 3) Achieve 75% digitally-registered individual customers with a monthly active rate of more than 35% by 2025.

Qs to Mgmt:

- 1) What are you investing in to protect your bank and your customers' data?
- 2) What measures would be taken to protect the employees' rights?

Catalysts

- Continued tech spend
- Property market outlook
- Deposit competition

Financials: United Overseas Bank Ltd.

Estimate changes

SGD	2024A	2025E	2026E	2027E
Rev. (MM)	14,294.0 ↓ -1%	14,915.7 ↑ +2%	15,617.8 ↑ +2%	17,005.0
Previous	14,404.0	14,552.1	15,350.8	
Cons. DPS	-	2.17 ↑ +4%	2.13 ↑ +6%	2.26
Previous		2.09	2.01	
DPS	1.80 ↓ -6%	2.42 ↑ +20%	2.20 ↓ -1%	2.48
Previous	1.92	2.01	2.19	
Net Profit	6,045.0 ↑ +1%	6,316.8 ↑ +3%	6,763.9 ↑ +3%	7,546.3
Previous	5,959.7	6,133.3	6,560.7	
ROE	13%	13%	13%	14%
BV/Share	28.10 ↑ +1%	30.83 ↑ +7%	32.35 ↑ +4%	34.67
Previous	27.76	28.70	31.12	
EPS	3.44 ↓ -2%	3.76 ↑ +3%	4.07 ↑ +2%	4.60
Previous	3.49	3.66	3.98	
Cons. EPS	-	3.79 ↑ +2%	4.04 ↑ +4%	4.34
Previous		3.72	3.88	

Valuation metrics

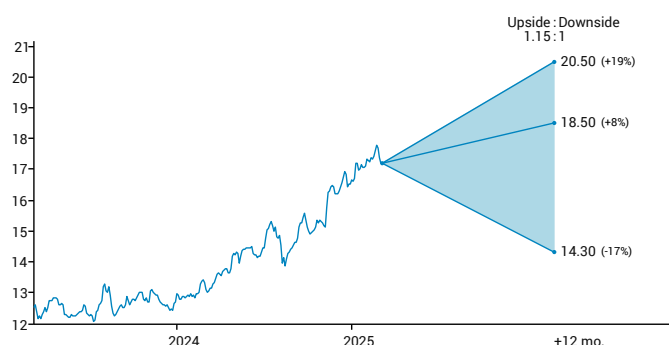
	2024A	2025E	2026E	2027E
P/B	1.4x	1.2x	1.2x	1.1x
FY P/E	11.2x	10.2x	9.4x	8.3x

The Long View: Oversea-Chinese Banking Corp.

Investment Thesis / Where We Differ

We rate OCBC a Hold with a PT of S\$18.5. OCBC now trades at 1.34x PB vs. an ROE of 13.67%. Mgmt aims to deliver S\$3bn of incremental revenue by 2025 via business optimisation, in part offset by the upcoming rate headwinds. Strong CET1 of ~15% opens the possibility for capital return or inorganic growth.

Risk/Reward - 12 Month View



Base Case, SGD18.50, +8%

- Flattening yield curve, limited transmission of Fed rate hikes
- Sluggish markets to limit growth in wealth-related income.
- Greater Bay presence, China+1 strategy of network clients along with gradual opening of borders such as SG-MY anchor the group for structural growth drivers.
- Progressive dividend stance with 50% payout ratio commitment.
- 12m fwd EPS: S\$1.69; Target P/E: 11x; Price Target: S\$18.5.

Upside Scenario, SGD20.50, +19%

- Accelerated revenue growth from franchise build-out.
- Improved margin outlook either due to base rate or repricing risk and loan mix shift or higher CASA balances.
- Credit costs continue to trend lower than expected.
- More efficient capital management, scope for special capital return.
- Bull case EPS: S\$1.87, Target Multiple: 11x; Price Target: S\$20.5.

Downside Scenario, SGD14.30, -17%

- Liquidity squeeze, deposit competition and higher wholesale funding cost push down margins.
- Continued NPA formation from regional exposure, decline in momentum in non-interest income.
- Slowdown in WM, impact on insurance from MTM losses.
- Large acquisition, potential execution challenges.
- Lower payouts keeping RoEs depressed.
- Bear case EPS: S\$1.31, Target Multiple: 11x; Price Target: S\$14.3.

Sustainability Matters

Top Material Issue(s):

- 1) For OCBC to better serve the economy and enhance competitiveness, it needs to continually push forward product innovation, strengthen service channels, improve comprehensive services, and promote the high-quality and sustainable development of inclusive financial services.
- 2) Since ESG factors can have material implications for the underlying companies and projects that commercial banks lend to, it is necessary for OCBC to incorporate ESG factors when developing products and conducting credit analysis.

Company Target(s):

- 1) Disburse S\$1 billion government-assisted loans to SMEs across Singapore, Malaysia and Hong Kong SAR
- 2) Grow sustainable financing portfolio to S\$50 billion by 2025.

Qs to Mgmt:

- 1) How to broaden and deepen sustainability/ ESG investment offerings in 2024?
- 2) What are you investing in to protect your bank and your customers data?

Catalysts

- Cross-border investment flows
- Greater Bay Initiative
- Through cycle credit costs, Stability of CET1
- M&As, Dividend policy

Financials: Oversea-Chinese Banking Corp.

Estimate changes

SGD	2024A	2025E	2026E	2027E
Rev. (MM)	14,473.0 <1%	14,995.5 ↑ +1%	15,481.6 <1%	16,407.0
Previous	14,511.2	14,820.9	15,361.1	
Cons. DPS	-	1.00 ↑ +9%	1.00 ↑ +4%	1.05
Previous		0.92	0.96	
DPS	1.01 ↑ +13%	1.01 ↑ +7%	0.96 ↓ -2%	1.05
Previous	0.89	0.94	0.98	
Net Profit	7,587.0 <1%	7,607.2 ↓ -2%	7,915.3 ↓ -2%	8,564.0
Previous	7,600.0	7,726.0	8,066.4	
ROE	14%	13%	13%	13%
BV/Share	12.84 ↑ +2%	13.31 <1%	14.14 ↓ -2%	15.06
Previous	12.53	13.33	14.39	
EPS	1.69	1.69 ↓ -2%	1.76 ↓ -2%	1.89
Previous		1.72	1.80	
Cons. EPS	-	1.67	1.71 ↓ -1%	1.78
Previous			1.73	

Valuation metrics

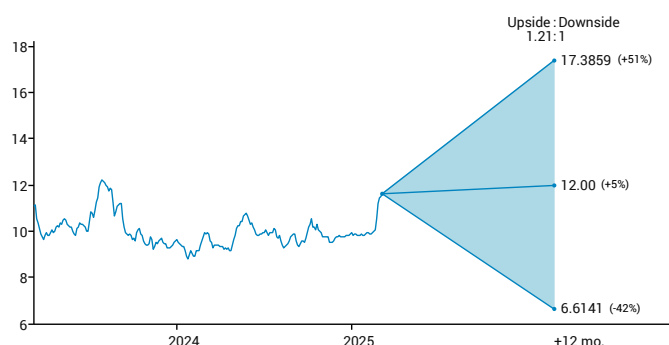
	2024A	2025E	2026E	2027E
P/B	1.3x	1.3x	1.2x	1.1x
FY P/E	10.2x	10.2x	9.8x	9.1x

The Long View: BEA

Investment Thesis / Where We Differ

We rate BEA Hold with a PT of HK\$12 on an undemanding valuation (0.31x 2025E PB) and attractive dividend yield of 7-12%. BEA underwent a strategic review in 2020 and executed non-core disposals to drive shareholder returns. New strategy to diversify the loan book and to strengthen fee income is starting to contribute, although patience is needed for China CRE risks to be fully digested. We think the risk/reward for BEA is fair at current levels.

Risk/Reward - 12 Month View



Base Case, HK\$12.00, +5%

Our PT of HK\$12 is based on DDM with 12.9% cost of equity. This implies a 0.31x 2025E P/B and a 7.41x 2025E PE. Long-term ROE is set at 4.95%.

Upside Scenario, HK\$17.39, +51%

Our upside PT of HK\$17.4 assumes a 2025E PE of 7.41x and an EPS of HK\$2.35 (vs base case of HK\$1.62) based on NIM of 2.08% (+10bps vs base case) and CoR of 74bps (20bps better than base case).

Downside Scenario, HK\$6.61, -42%

Our downside PT of HK\$6.6 assumes a 2025E PE of 7.41x and an EPS of HK\$0.89 (vs base case of HK\$1.62) based on NIM of 1.88% (-10bps vs base case) and CoR of 114bps (20bps worse than base case).

Sustainability Matters

Top Material Issue(s):

- 1) For BEA to better serve the economy and enhance competitiveness, it needs to continually push forward product innovation, strengthen service channels, improve comprehensive services, and promote the high-quality and sustainable development of inclusive financial services.
- 2) Since ESG factors can have material implications for the underlying companies and projects that commercial banks lend to, it is necessary for BEA to incorporate ESG factors when developing products and conducting credit analysis.

Company Target(s):

- 1) Reduce carbon emissions of the group by 19% by 2023 (baseline year 2019).
- 2) Foster greater adoption of digital banking services among customers 60+ by developing and launching a pilot peer buddy program.

Qs to Mgmt:

- 1) What are you investing in to protect your bank and your customers' data?
- 2) What further steps would be taken to promote financial inclusion for underserved communities?

Catalysts

- 1) Special dividend announcement post Blue Cross disposal;
- 2) Improvement in BEA China's profitability;
- 3) More hawkish-than-expected Fed to drive NIM expansion.

Financials: BEA

Estimate changes

HK\$	2024E	2025E	2026E	2027E
Pre-Provision Op Profit (B)	11,345.0	11,033.3	11,170.4	11,771.7
	↑ +3%	↑ +5%	↑ +4%	
<i>Previous</i>	11,000.4	10,541.3	10,690.7	
Cons. EPS	-	1.74	1.83	1.94
		↑ +11%	↑ +6%	
<i>Previous</i>		1.57	1.72	
Cons. DPS	-	0.80	0.84	0.90
		↑ +8%	↑ +4%	
<i>Previous</i>		0.74	0.81	
Net Profit	4,608.0	4,555.2	5,439.3	7,019.0
	↑ +9%	↑ +3%	↑ +1%	
<i>Previous</i>	4,221.6	4,420.0	5,373.4	
EPS	1.52	1.62	1.96	2.62
	↑ +8%	↑ +3%		
<i>Previous</i>	1.40	1.57		
BV/Share	38.06	38.83	39.96	41.52
	<1%	<1%	↓ -1%	
<i>Previous</i>	37.85	39.11	40.57	
Dividend	0.69	0.75	0.92	1.26
	↑ +9%	↑ +3%		
<i>Previous</i>	0.63	0.72		

Valuation metrics

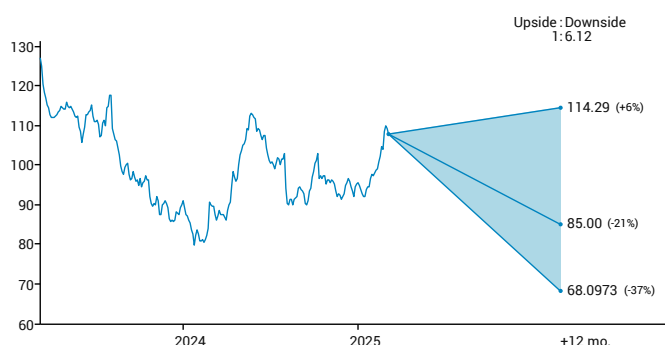
	2024A	2025E	2026E	2027E
FY P/E	7.5x	7.1x	5.9x	4.4x
P/B	0.3x	0.3x	0.3x	0.3x
Div. Yield	6.01%	6.49%	8.03%	10.95%

The Long View: HSB

Investment Thesis / Where We Differ

We rate HSB Underperform with a PT of HK\$85. High NPL ratio and low provision coverage could leave the bank vulnerable to any macro shocks. Incremental steps in shareholder return, but capital return potential is diminishing amid rising uncertainties. Valuation at a premium vs. peers.

Risk/Reward - 12 Month View



Base Case, HK\$85.00, -21%

Our PT of HK\$85 is based on DDM with an 10.8% cost of equity. This implies a 1x 2025E P/B and a 10.01x 2025E PE. Long-term ROE is set at 10.82%.

Upside Scenario, HK\$114.29, +6%

Our upside PT of HK\$114.3 assumes a 2025E PE of 10.01x and an EPS of HK\$11.41 (vs base case of HK\$8.49) based on NIM of 2.25% (+20bps vs base case) and CoR of 31bps (30bps better than base case).

Downside Scenario, HK\$68.10, -37%

Our downside PT of HK\$68.1 assumes a 2024E PE of 10.01x and an EPS of HK\$6.8 (vs base case of HK\$8.49) based on NIM of 1.95% (-10bps vs base case) and CoR of 81bps (20bps worse than base case).

Sustainability Matters

Top Material Issue(s):

- 1) For HSB to better serve the economy and enhance competitiveness, it needs to continually push forward product innovation, strengthen service channels, improve comprehensive services, and promote high-quality and sustainable development of inclusive financial services.
- 2) Since ESG factors can have material implications for the underlying companies and projects that commercial banks lend to, it is necessary to incorporate ESG factors when developing products and conducting credit analysis.

Company Target(s):

- 1) Reduce electricity consumption by 15% and 30%, respectively, by 2025 and 2030. (baseline year 2018).
- 2) Reduce paper consumption by 22.5% and 35%, respectively, by 2025 and 2030. (baseline year 2019).

Qs to Mgmt:

- 1) What are you investing in to protect your bank and your customers' data?
- 2) What further steps would be taken to promote financial inclusion for under-banked, unbanked, and under-served communities?

Catalysts

- 1) More hawkish-than-expected Fed to drive further NIM expansion;
- 2) Border reopening with China to boost fee income and loan growth;
- 3) Better-than-expected credit quality to result in provision write-backs.

Financials: HSB

Estimate changes

HK\$	2024A	2025E	2026E	2027E
Pre-Provision Op Profit (B)	26,344.0	24,854.7	24,446.7	25,395.8
	↑ +5%	↑ +5%	↑ +6%	
<i>Previous</i>	25,033.6	23,728.6	23,100.1	
Cons. DPS	-	6.49	6.58	7.00
		↑ +1%	↑ +2%	
<i>Previous</i>		6.40	6.48	
Net Profit	18,379.0	16,531.1	17,064.7	18,183.3
	↑ +7%	↑ +3%	↑ +5%	
<i>Previous</i>	17,135.9	16,090.5	16,217.4	
BV/Share	83.32	84.91	86.46	88.89
	↓ -1%	↓ -2%	↓ -2%	
<i>Previous</i>	84.23	86.57	88.26	
Dividend	6.80	6.80	6.80	7.10
Cons. EPS	-	8.57	9.02	9.50
		↑ +4%	↑ +8%	
<i>Previous</i>		8.26	8.38	
EPS	9.33	8.49	8.92	9.69
	↑ +8%	↑ +4%	↑ +8%	
<i>Previous</i>	8.66	8.18	8.25	

Valuation metrics

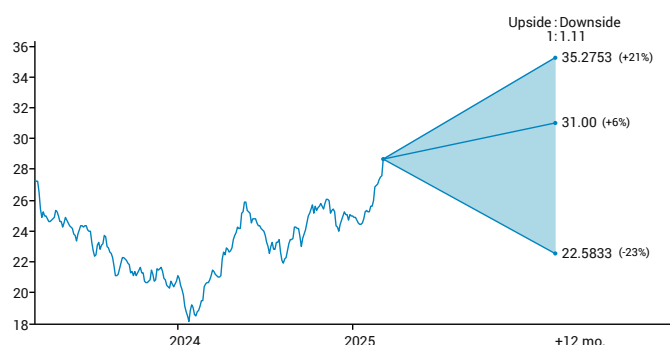
	2024A	2025E	2026E	2027E
P/B	1.3x	1.3x	1.2x	1.2x
Div. Yield	6.31%	6.31%	6.31%	6.59%
FY P/E	11.6x	12.7x	12.1x	11.1x

The Long View: BOCHK

Investment Thesis / Where We Differ

We rate BoCHK as a Buy with a PT of HK\$31. The valuation is undemanding at 0.9x fwd PB vs. 11-12% ROE and ~8% dividend yield. Higher-for-longer rates drive ongoing NIM expansion, which together with acceleration in cross-border business should more than offset asset quality pressure from China CRE. High CET1 of 19.02% means option value from more proactive capital return over time.

Risk/Reward - 12 Month View



Base Case, HK\$31.00, +6%

Our PT of HK\$31 is based on DDM with 11.8% cost of equity. This implies a 0.9x 2025E P/B and a 8.15x 2025E PE. Long-term ROE is set at 11.3%. Together with 7.69% yield, the stock offers a TSR of 9.3%.

Upside Scenario, HK\$35.28, +21%

Our upside PT of HK\$35.3 assumes a 2025E PE of 8.15x and an EPS of HK\$4.33 (vs base case of HK\$3.80) based on NIM of 1.65% (+10bps vs base case) and CoR of 20bps (10bps better than base case).

Downside Scenario, HK\$22.58, -23%

Our downside PT of HK\$22.6 assumes a 2025E PE of 8.15x and an EPS of HK\$2.77 (vs base case of HK\$3.80) based on NIM of 1.4% (-15bps vs base case) and CoR of 60bps (30bps worse than base case).

Sustainability Matters

Top Material Issue(s):

- 1) For BOCHK to better serve the economy and enhance competitiveness, it needs to continually push forward product innovation, strengthen service channels, improve comprehensive services, and promote the high-quality and sustainable development of inclusive financial services.
- 2) Since ESG factors can have material implications for the underlying companies and projects that commercial banks lend to, it is necessary to incorporate ESG factors when developing products and conducting credit analysis.

Company Target(s):

- 1) Set five green operational goals, covering energy, carbon emissions, water consumption, paper consumption, and waste disposal, to manage the environmental footprint of operations.
- 2) Promote green and low-carbon consumer spending through the joint promotion of a paperless payment receipt scheme with about 10,000 merchants covering approximately 15,000 sales outlets.

Qs to Mgmt:

- 1) What are you investing in to protect your bank and your customers' data?
- 2) What further steps would be taken to promote financial inclusion for under-banked, unbanked, and under-served communities?

Catalysts

- 1) More hawkish-than-expected Fed to drive further NIM expansion;
- 2) Border reopening with China to boost fee income and loan growth;
- 3) Better-than-expected credit quality to result in provision write-backs.

Financials: BOCHK

Estimate changes

HK\$	2024E	2025E	2026E	2027E
Pre-Provision Op Profit (B)	54,368.8	54,319.3	54,044.6	55,605.0
	<1%	<1%	<1%	
<i>Previous</i>	54,273.5	54,232.2	53,952.4	
Cons. DPS	1.94	1.89	2.02	2.25
	↑ +3%	↑ +2%	↑ +5%	
<i>Previous</i>	1.89	1.86	1.93	
Cons. EPS	3.58	3.44	3.57	3.91
	↑ +2%	<1%	↑ +3%	
<i>Previous</i>	3.50	3.41	3.46	
Dividend	2.09	2.13	2.24	2.41
			<1%	
<i>Previous</i>			2.22	
Net Profit	40,162.4	39,867.3	40,448.1	42,518.4
	<1%	<1%	<1%	
<i>Previous</i>	40,083.2	39,795.7	40,372.2	
BV/Share	32.58	34.29	36.32	38.66
	<1%		<1%	
<i>Previous</i>	32.57		36.52	
EPS	3.80	3.80	3.93	4.16
	<1%		<1%	
<i>Previous</i>	3.79		3.89	

Valuation metrics

	2024A	2025E	2026E	2027E
P/B	0.9x	0.9x	0.8x	0.8x
Div. Yield	7.14%	7.28%	7.65%	8.25%
FY P/E	7.7x	7.7x	7.5x	7.0x

We would like to thank Iris Tian, employee of Evalueserve Inc., for providing research support services to our preparation of this report.
 We would like to thank Max Nie, employee of Evalueserve Inc., for providing research support services to our preparation of this report.

Company Description

HSB

HSB's main businesses are retail banking and wealth management, corporate and commercial banking, treasury business, and private banking. The bank also provides RMB services. It serves over half of the adult residents of HK through about 260 services outlets. Its wholly-owned subsidiary, HSB (China) Limited, operates a Mainland China service network in around 20 cities. It also maintains a presence in Macau, Singapore, and Taipei. HSB is a principal member of the HSBC Group.

BOCHK

BOCHK has a large branch network in HK, with about 190 branches providing general banking, investment, and wealth management services. It is one of the three note-issuing banks in HK and the sole clearing bank for RMB business in HK. The bank has extended its operation to eight countries in Southeast Asia to promote RMB internationalisation and the One-Belt-One-Road initiative.

BEA

BEA is a HK-based banking group providing corporate banking, personal banking, wealth management, and investment services in HK and Mainland China. The company operates more than 200 outlets in HK, Mainland China, Singapore, Taiwan, the UK, and other parts of the world. BEA is one of the first foreign banks to have received approval to establish a locally incorporated bank in Mainland China. BEA China now accounts for approximately one-third of the group's assets.

DBS Group Holdings Ltd.

DBS Group Holdings Ltd. is an investment holding company that engages in the provision of retail, small and medium-sized enterprise, corporate and investment banking services. It operates through the following business segments: Consumer or Private Banking, Institutional Banking, Treasury, and Others. The Consumer or Private Banking segment provides services such as current and savings accounts, fixed deposits, loans and home finance, cards, payments, investment and insurance products. The Institutional Banking segment offers financial services and products to institutional clients including non-bank financial institutions, government linked companies, large corporate and small and medium-sized businesses. The Treasury segment supplies treasury services to corporations, institutional and private investors, financial institutions and other market participants. The Others segment encompasses activities from corporate decisions, and income and expenses not attributed to the business segments described. The company was founded in 1968 and is headquartered in Singapore.

Oversea-Chinese Banking Corp.

Oversea-Chinese Banking Corp. Ltd. engages in banking, life assurance, general insurance, asset management, investment holding, futures, and stock broking businesses. The company operates its business through following segments: Global Consumer Financial Services, Global Corporate Banking, Global Treasury, Insurance, and Others. The Global Consumer Financial Services segment provides deposit products, consumer loans, credit cards, and wealth management products. The Global Corporate Banking segment offers long-term loans such as project financing, short-term credit such as overdrafts and trade financing, deposit accounts and fee-based services such as cash management and custodian services. The Global Treasury segment offers structured treasury products and financial solutions, and participates in foreign exchange activities, money market operations, fixed income, and derivatives trading. The Insurance segment provides life and general insurance products. The Others segment engages in investment holding, property holding, stock brokerage, capital market, and corporate finance. Oversea-Chinese Banking was founded in 1932 and is headquartered in Singapore.

United Overseas Bank Ltd.

United Overseas Bank Ltd. provides a wide range of financial services. The company operates a global network of branches, offices, subsidiaries and associates. It is engaged in the business of providing personal financial services, private banking, commercial and corporate banking, investment banking, corporate finance, capital market activities, treasury services, futures broking, asset management, venture capital management, insurance and stock broking services. UOB also has diversified interests in travel and property management. It also offers loans to small and medium enterprises. The company operates through the following major banking subsidiaries: Far Eastern Bank, United Overseas Bank (Malaysia), United Overseas Bank (Thai), PT Bank UOB Buana and United Overseas Bank (China). It has operations in Asia Pacific, Western Europe and North America. The company was founded by Wee Kheng Chiang on August 6, 1935, and is headquartered in Singapore.

Company Valuation/Risks

HSB

Our PT of HK\$85 is based on DDM with an 10.8% cost of equity. This implies a 1x 2025E P/B and a 10.01x 2025E PE.

Upside risks: 1) More hawkish-than-expected Fed to drive NIM expansion; 2) Border reopening with China to boost fee income and loan growth; 3) Better-than-expected credit quality to result in provision write-backs.

Downside risks: 1) Decline in insurance profit due to accounting changes; 2) Worse-than-expected macro environment in HK; 3) Second-order asset quality impact from China property sector; 4) Spread compression due to intensifying competition.

BOCHK

Our PT of HK\$31 is based on DDM with 11.8% cost of equity. This implies a 0.9x 2025E P/B and a 8.15x 2025E PE.

Downside risks: 1) Faster-than-expected Fed rate cuts; 2) Macro uncertainties in HK/China undermining growth; 3) Asset quality risks from HK/China CRE; 4) Excessively conservative capital mgmt.

BEA

Our PT of HK\$12 is based on DDM with 12.9% cost of equity. This implies a 0.31x 2025E P/B and a 7.41x 2025E PE.

Upside risks: 1) More proactive shareholder return; 2) Improving HK/China business sentiment to drive loan growth and activities; 3) Asset quality fares better than feared.

Downside risks: 1) Provision increase for legacy China property exposures; 2) Worse-than-expected macro environment due to prolonged Covid; 3) Spread compression due to intensifying competition.

DBS Group Holdings Ltd.

Our PT of S\$52 is based on an 13x multiple to 12m forward EPS. Key upside risks include better-than-expected loan growth, margins and asset quality. Key downside risks include worse-than-expected asset quality/any large NPA formation, dialling down of rate hike/steeper yield curve expectations

Oversea-Chinese Banking Corp.

Our PT of S\$18.5 is based on an 11x multiple to 12m fwd EPS. Key upside risks include better-than-expected loan growth, margins and asset quality. Key downside risks include worsening asset quality, slower growth in WM AUM, economic slowdown, large M&A. We ascribe below-mean multiple to take into account low RoE and M&A overhang.

United Overseas Bank Ltd.

Our PT of S\$43 is based on a 11.5x multiple applied to 12m fwd EPS. Key upside risks include better-than-expected loan growth, margins and asset quality. Key downside risks include sudden reversal of liquidity, wider credit spreads, risk premium, and trade frictions.

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(Article 3(1)e and Article 7 of MAR)

Recommendation Published	March 5, 2025 , 08:37 ET.
Recommendation Distributed	March 5, 2025 , 08:37 ET.

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- Bank of China Limited (601988 CH: CNY5.38, HOLD)
- Bank of East Asia Limited (23 HK: HK\$11.48, HOLD)
- DBS Group Holdings Ltd. (DBS SP: SGD45.53, BUY)
- Hang Seng Bank Limited (11 HK: HK\$107.80, UNDERPERFORM)
- HSBC Holdings PLC (HSBA LN: p916.30, BUY)
- Oversea-Chinese Banking Corp. Ltd. (OCBC SP: SGD17.18, HOLD)
- Standard Chartered PLC (STAN LN: p1,241.50, BUY)
- United Overseas Bank Ltd. (UOB SP: SGD38.37, BUY)

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
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